



Asset allocation and diversification

To reduce the risk of their investment, investors often try to diversify their portfolio, spreading the risk they are exposed to by investing in different assets, sectors, or regions.

Strategic asset allocation

A defensive investor may choose to use strategic asset allocation. This involves investing in a combination of asset classes, taking into account the expected returns for each asset class, and therefore the overall expected return of the investment. In the illustration on the right, the expected returns of stocks are 10 per cent, so by allocating 20 per cent of the portfolio to stocks, the investor will expect them to contribute 2 per cent to the returns.

MARKET CAPITALIZATION

The total value of a company – its market capitalization – is equal to the total number of its shares multiplied by the price of one of those shares. For example, if a company had 100 shares and one share in that company was worth £50, its market capitalization would be £5,000 (100 x £50).

The investment industry refers to the size of market capitalization when it talks about large- (or “blue chip”), medium- and small-cap companies. Large caps are usually more stable but offer an investor limited growth opportunities. Medium and small caps can be riskier, but can grow quickly.

